MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS)
(2024 Admission Onwards)
B.COM FOURTH SEMESTER- MODEL QUESTION PAPER
MG4DSECOM204- TRENDS AND INNOVATIONS IN BANKING

Time: 1 Hour 15 minutes **Max. Marks: 70**

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

PART A

Answer any **20** multiple choice questions. Each question carries **1** mark.

Q.No	Questions	Level	CO
1	CRR refers to the percentage of deposits that banks must maintain with: a) Government of India b) RBI c) SEBI d) Other banks	U	1
2	Which of the following determines the minimum lending rate for banks under the MCLR system? a) Base Rate b) Marginal cost of funds c) Repo Rate only d) Inflation rate	U	1
3	Retail banking primarily deals with: a) Large corporate b) Government bodies c) Individual customers d) International banks	U	1
4	Which of the following is a non-fund based banking activity? a) Term loan b) Cash credit c) Bank guarantee d) Working capital loan	U	1
5	Bill discounting is mainly used for: a) Long-term financing b) Trade financing c) Infrastructure funding d) Agricultural loans	U	1
6	Match the following (a)NEFT – (i) Real-time gross (b) RTGS – (ii) Instant retail (c) IMPS – (iii) Messaging system (d) SWIFT – (iv) Batch settlement a) a-iv, b- i, c-ii and d-iii b) a-iii, b-ii, c-i and d-iv c) a-iv, b-ii, c-i and d-iii d) a-iii, b- i, c-ii and d-iv	U	1
7	Tandon Committee deals with: a) Long term capital b) working capital assessment c) Treasury d) Forex management	U	1,4
8	How does AI transform banking operations? a) By increasing paperwork b) Through fraud detection, chatbots, and personalized loan approvals using ML c) Limiting customer access d) Replacing all human staff	U	2
9	_____ layer of CBS deals with branch/ customer channels such as ATMs, internet banking portals, etc. a) Front-end b) Middle c) Back-end d) None of the other options	U	2
10	Internet banking allows customers to _____ a) Access banking services during bank working hours. b) Avail service directly through branch c) Transfer funds without branch visits. d) None of the other options	U	2
11	The Payments and Settlement Act, 2007 empowers _____ to regulate payments in India. a) SEBI b) RBI c) Ministry of Finance d) None of the other options	U	2
12	EFT refers to _____ a) External Fund Transfer b) Electronic Funds Transfer c)Express Funds Transaction d) Electronic Financial Transfer	U	2

13	UPI stands for _____ a) Unique Payments Interface b) Unified Payments Interface c) Unique Payment Intimation d) None of the other options	U	2
14	RBI launched Central Bank Digital Currency in _____ a) 2018 b) 2020 c) 2016 d) 2022	U	2
15	Green banking mainly aims to: a) Increase branch expansion b) Reduce operational costs only c) Promote environmentally sustainable banking practices d) Increase credit risk	U	2
16	One major challenge faced by neo-banks is: a) Excessive branch maintenance b) Regulatory dependency on partner banks c) High cash-handling costs d) Limited use of technology	U	3,6
17	Which of the following best describes bancassurance in India? a) Fully prohibited b) Allowed only for public sector banks c) Permitted under regulated models d) Limited to life insurance only	U	3,6
18	Doorstep banking services are especially beneficial for: a) Large corporate customers b) Elderly and differently-abled customers c) Stock brokers d) Foreign banks only	U	1
19	Which of the following risks is most prominent in international banking? a) Operational risk only b) Exchange rate (foreign exchange) risk c) Human resource risk d) Marketing risk	U	5
20	Which of the following is a key feature of an International Financial Centre? a) High trade barriers b) Restrictions on foreign currency transactions c) Free flow of capital and global financial services d) Only government-owned banks operate	U	5
21	Payment under a Letter of Credit is made on the basis of: a) Physical inspection of goods b) Trust between buyer and seller c) Compliance of documents with LC terms d) Importer's financial position	U	5
22	BIS provides which of the following services to central banks? a) Retail lending b) Clearing house and trustee services c) Agricultural credit d) Microfinance	U	5

(20x1=20)

PART B

Answer any **25** multiple choice questions. Each question carries **2** marks.

23	Consider the following statements Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): Issuance of a Bank Guarantee increases the bank's contingent liability. Reasoning (R): The bank becomes liable to make payment to the beneficiary if the applicant defaults. a) Both A and R are true, and R is the correct explanation of A. b) Both A and R are true, but R is not the correct explanation of A. c)A is true, but R is false. d)A is false, but R is true.	U	1
24	Consider the following statements Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): Outward remittance involves transfer of funds from India to a foreign country. Reasoning (R): Outward remittances are permitted without any regulatory limits. a) Both A and R are true, and R is the correct explanation of A. b) Both A and R are true, but R is not the correct explanation of A.	U	1

	c)A is true, but R is false. d)A is false, but R is true.		
25	Consider the following statements and choose the most appropriate alternative. Statement I: Deposit Insurance and Credit Guarantee Corporation (DICGC) is a wholly owned subsidiary of the Reserve Bank of India. Statement II: DICGC provides insurance cover only to deposits held in foreign banks operating outside India. a) Both statements are true b) Statement I is true, and Statement II is false c) Statement I is false, and Statement II is true d) Both statements are false	U	4
26	Consider the following statements and choose the most appropriate alternative. Statement I: Changes in the Banking Regulation Act aim to improve governance and financial stability of banks. Statement II: The amendments completely remove government oversight over public sector banks. a) Both statements are true b) Statement I is true, and Statement II is false c) Statement I is false, and Statement II is true d) Both statements are false	U	4
27	Consider the following statements and choose the most appropriate alternative. Statement I: The establishment of IFSCA reflects India's move towards a specialised regulatory framework for international finance. Statement II: IFSCA has taken over the regulatory functions of RBI, SEBI, IRDAI, and PFRDA within IFSCs. a) Both statements are true b) Statement I is true, and Statement II is false c) Statement I is false, and Statement II is true d) Both statements are false	U	4
28	Consider the following statements and state which of the statements are true. Statement (1): The Bad Bank mechanism was introduced to resolve stressed assets of banks. Statement (2): National Asset Reconstruction Company Limited (NARCL) acquires NPAs from banks. Statement (3): Bad Banks help improve banks' balance sheets by removing stressed assets. Statement (4): Bad Banks provide fresh loans directly to retail borrowers. a) (1), (2) and (3) only b) (1) and (4) only c) (2), (3) and (4) only d) (1), (2), (3) and (4)	U	1,4
29	Consider the following statements Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): The Banking Ombudsman mechanism replaces the need for courts in all banking disputes. Reasoning (R): The Ombudsman can adjudicate criminal cases involving banks. a) Both A and R are true, and R is the correct explanation of A. b) Both A and R are true, but R is not the correct explanation of A. c)A is true, but R is false. d)A is false, but R is true.	U	1,4
30	Consider the following statements Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): The Ombudsman can address complaints related to deficiency in banking services. Reasoning (R): Its jurisdiction extends to issues such as unfair charges, delay in services, and non-adherence to regulatory guidelines. a) Both A and R are true, and R is the correct explanation of A.	U	1

	b) Both A and R are true, but R is not the correct explanation of A. c)A is true, but R is false. d)A is false, but R is true.		
31	Which of the following banks was merged with Punjab National Bank? a) Vijaya Bank and Dena Bank b) Oriental Bank of Commerce and United Bank of India c) Syndicate Bank and Corporation Bank d) Andhra Bank and Allahabad Bank	U	1
32	Consider the following statements and state which of the statements are true. Statement (1): WhatsApp-based lending is offered in partnership with regulated banks or NBFCs. Statement (2): Customer consent and data privacy are important aspects of WhatsApp-based lending. Statement (3): WhatsApp itself acts as the lender in WhatsApp-based lending models. Statement (4): Such lending models leverage digital KYC and automated credit assessment. a)(1), (2) and (4) only b) (1) and (3) only c) (2), (3) and (4) only d) (1), (2), (3) and (4)	U	2
33	Consider the following statements and state which of the statements are true. Statement (1): White Label ATMs are owned and operated by non-bank entities. Statement (2): White Label ATM operators are authorised by the central bank. Statement (3): White Label ATMs can issue debit cards to customers. Statement (4): White Label ATMs improve ATM penetration in under-banked areas. Options: a) (1), (2) and (4) only b) (1) and (3) only c) (2), (3) and (4) only d) (1), (2), (3) and (4)	U	2
34	Consider the following statements and choose the most appropriate alternative. Statement I: FinTech disruption reduces operational risks completely for financial institutions. Statement II: Cybersecurity, data privacy, and regulatory compliance remain key challenges in FinTech-driven models. a) Both statements are true b) Statement I is true, and Statement II is false c) Statement I is false, and Statement II is true d) Both statements are false	U	2
35	Which of the following statements is correct? a) Co-branded cards are issued without regulatory oversight b) Partner companies can issue credit independently c) Banks must comply with credit card guidelines d) Only NBFCs can issue co-branded cards	U	2
36	Which of the following is a core feature of blockchain technology? a) Manual verification b) Central authority control c) Immutability of records d) High dependence on intermediaries	U	2
37	Which of the following cloud service models is commonly used by banks? a) Hardware as a Service b) Software as a Service (SaaS) c) Branch as a Service d) Cash as a Service	U	2
38	Consider the following statements and choose the most appropriate alternative. Statement I: Robotic Process Automation (RPA)is used in banks to automate repetitive and rule-based tasks. Statement II: Robotics completely replaces human decision-making in all banking operations. a) Both statements are true	U	2

	b) Statement I is true, and Statement II is false c) Statement I is false, and Statement II is true d) Both statements are false		
39	Big Data Analytics helps banks gain market insights by: a) Predicting exact future interest rates b) Identifying trends, opportunities, and customer expectations c) Replacing marketing departments d) Avoiding customer feedback	U	2
40	Licenses for Small Finance Banks are issued under which Act? a) Companies Act, 2013 b) Banking Regulation Act, 1949 c) RBI Act, 1934 d) SARFAESI Act, 2002	U	3,6
41	Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): Payments Banks are allowed to accept only limited deposits per customer. Reasoning (R): Payments Banks are permitted to accept both demand and term deposits without any ceiling. a) Both A and R are true, and R is the correct explanation of A. b) Both A and R are true, but R is not the correct explanation of A. c) A is true, but R is false. d) A is false, but R is true.	U	3,6
42	Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): Bancassurance may lead to mis-selling of insurance products. Reasoning (R): Pressure to achieve sales targets may result in insurance products being sold without proper assessment of customer needs. a) Both A and R are true, and R is the correct explanation of A. b) Both A and R are true, but R is not the correct explanation of A. c) A is true, but R is false. d) A is false, but R is true.	U	3,6
43	Consider the following statements and state which of the statements are true. Statement (1): Phishing attacks attempt to trick customers into revealing sensitive information. Statement (2): Malware and ransomware can disrupt banking operations and compromise data. Statement (3): Cyber security threats affect only customers and not banks. Statement (4): Banks are increasingly targeted due to high-value financial data. a) (1), (2) and (3) only b) (1), (2) and (4) only c) (2), (3) and (4) only d) (1), (2), (3) and (4)	U	3,4
44	Which of the following entities can participate in the Regulatory Sandbox? a) Only public sector banks b) Only foreign banks c) FinTech firms, banks, and financial institutions d) Only NBFCs	U	4
45	Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): An irrevocable letter of credit cannot be amended or cancelled without the consent of all parties. Reasoning (R): An irrevocable letter of credit provides greater payment security to the exporter. a)Both A and R are true, and R is the correct explanation of A. b) Both A and R are true, but R is not the correct explanation of A. c) A is true, but R is false. d) A is false, but R is true.	U	5
46	Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative.	U	5

	Assertion (A): BASEL III was introduced after the global financial crisis to improve bank resilience. Reasoning (R): BASEL III strengthened capital quality, introduced leverage ratio, and liquidity standards. a) Both A and R are true, and R is the correct explanation of A. b) Both A and R are true, but R is not the correct explanation of A. c) A is true, but R is false. d) A is false, but R is true.		
47	Which of the following capital components is included in CRAR calculation? a) Tier I capital only b) Tier II capital only c) Both Tier I and Tier II capital d) Tier III capital only	U	5
48	Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): Neo-banks enable customers to open and operate accounts entirely online. Reasoning (R): Digital KYC and API-based integration allow seamless onboarding and transactions. a) Both A and R are true, and R is the correct explanation of A. b) Both A and R are true, but R is not the correct explanation of A. c) A is true, but R is false. d) A is false, but R is true.	U	5
49	Consider the following statements and choose the most appropriate alternative. Statement I: Open banking enables customers to securely share their financial data with third-party service providers. Statement II: This data sharing is done through standardised APIs with customer consent. a) Both statements are true. b) Statement I is true, and Statement II is false. c) Statement I is false, and Statement II is true. d) Both statements are false.	U	5

(25x2=50)

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